BAN LÃNH ĐẠO

APPENDIX

REGARDING PROPOSALS FOR DRAFT DECREE GUIDING TECHNOLOGY TRANSFER LAW

No.	Article	Draft Decree	Proposals	Reasons
1	**Article 5. Pricing and payment modes**	6. Institutional and individual transferees of technologies shall provide in their tax filings the following information: **quantity of the technology transferred, technology name, technological subject, origin and value of the transferred technology**, to be used for determination and supervision of tax obligations and tax incentives associated with the technology transferred	Propose not to mention **quantity of technology transferred, technology name, technology subject, origin and value of technology transferred** in tax declaration form. Enterprise can list out such information in Technology Transfer Report required in Article 7 of this Draft Decree.	We understand that the purpose of requiring technology transfer information (including type of technology transferred and value of technology transferred) in tax declaration form, conducting audit on technology transfer price and reporting on technology transfer is to determine tax obligation as well as tax incentive precisely, especially in transactions between related companies and transaction between Vietnamese companies and overseas parties. The requirement of enterprises to annually report on technology transfer to MOST and also files tax declaration to tax authorities shall not only take more time of enterprises but also add more procedures. We understand that enterprises can declare technology information in only Technology Transfer Report to reduce procedures and increase motivation for business developement. If other relevant authorities have demand to use any information on such Technology Transfer Report, they can coordinate with MOST.

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2		7. The Ministry of Finance shall take a leadership role and collaborate with the Ministry of Science and Technology in providing guidelines on the jurisdiction, procedures and steps for technology price audit	1. Propose to give clear guidance in the Decree: Which authority is competent authority to audit price of technology transfer; scope and purpose of tax audit regarding technology transfer; and time to conduct audit.	1. According to current tax laws, FDI enterprises have to prepare transfer price documentation by themselves to prove transaction price are among benchmarking range. At the same time, Technology Transfer Law stipulates that price of technology transferred from overseas into Vietnam must be audited. These regulations make us very confused that which authority will be auditor, scope and purpose of tax audit regarding technology transfer, and time to conduct audit. Besides, until now, MOF and MOST and below department (such as General Department of Taxation) have not conducted any tax inspection regarding to transfer price issue or technology transferring price and we have no experience on this issue. Therefore, we need very detail guidance from government to comply well.
			2. Propose to issue policy in case audit contents stipulated under tax laws and technology transfer laws overlap as follows: (i) Ministry of Finance and Ministry of Science and Technology shall combine to conduct their audits in each enterprise at the same time or (ii) Such Ministries have policy for internal exchange of audited information with related Ministries, then there is no need for such other Ministries to conduct audit by themselves.	2. Simplify administrative procedures, make contribution for betterment of Vietnam's legal system, as well as reduce binding administrative procedure for enterprises, which shall increase their motivation to develop business and manufacturing.

No.	Article	Draft Decree	Proposals	Reasons
3			Add 01 more payment method: *"Other payment method as agreed by the parties"*	Ensure consistency with Technology Transfer Law 2017
4	**Article 6. Technology transfer registration**	2. In case of technology transfer agreements entered into in accordance with the 2006 Technology Transfer Law, **where the parties involved need to register modifications and updates, the procedures and formalities to make such modifications and updates shall be subject to the provisions of Article 31, Technology Transfer Law** 3. In case of technology transfer agreements entered into prior to July 1, 2018, **where the parties involved need to extend the technology transfer agreement, the procedures and formalities for such extension shall be subject to the provisions of Article 33, (revised) Technology Transfer Law**	1. Propose to consider only the major changes affecting the management such as **duration and type of technology** will be subjected to implement registration regulation.	1. The registration of technology transfer is for the purpose of state management of technology transfers, avoiding fraud, transfer pricing, tax evasion... However, it is necessary to have clear criteria to determine which case the amendment and/or supplementation of contracts must be submitted. That enterprises have to register any and every amendment to some extents shall increase administrative procedure and take time of enterprises, while agreement on contents of contracts, including amendment, supplementation, is the rights of both parties, based on their wishes and scope of transfer. In addition, the registration of contracts can be convenient for management, but can cause difficulties for enterprises during the negotiation and implementation of contracts since there are many regulations on registration procedures as well as supervision.
			2. Propose to stipulate contents and forms of application for registration, amendment, supplementation, extension in this Decree	2. Help enterprises have basis to prepare information and submit required registration dossiers in compliance with the laws

No.	Article	Draft Decree	Proposals	Reasons
5		6. Jurisdiction for granting Certificates for registration of technology transfer a) **The Ministry of Science and Technology grants Certificates for registration of inbound technology transfers into Vietnam as part of projects for which preliminary acceptance is provided by the Prime Minister**, and Category A projects; and outbound technology transfer from Vietnam. ... b) **The Department of Science and Technology of provinces and cities under direct central control grant Certificates for registration of inbound technology transfer into Vietnam for technologies affiliated to investment projects for which preliminary acceptance is provided by the provincial level People's Committee**, and Category B and C projects; and internal technology transfer financed by public funding or the state budget. ... 7. Application dossier for technology transfer registration in accordance with Article 31.3, Technology Transfer Law. Lodging an application for technology transfer registration shall be done in line with the following rules. a) Within 90 days after the signing of the technology transfer pledge, **the transferee**	Propose to amend Article 6.7 to ensure consistency of regulations on authority to issue Certificate of Technology Transfer Registration of Ministry of Science and Technology (MOST) and Department of Science and Technology (DOST).	In Article 6.6, the Draft stated that both MOST and DOST have authority to issue Certificate of Technology Transfer Registration for technology transferred from overseas into Vietnam (depend on approval level of investment project using transferred technology). However, Article 6.7 on procedure to submit registration dossier in case transferring technology from overseas into Vietnam only mentions authority of MOST. Such regulation may lead to understanding that DOST does not have authority to issue Certificate of Technology Transfer Registration for technology transferred from overseas into Vietnam, which conflicts with Article 6.6.

		in case of inbound technology transfer into Vietnam, or transferor in case of outbound technology transfer from Vietnam shall, **on behalf of the parties involved, submit an original application dossier to the Ministry of Science and Technology.** b) In case of internal technology transfer, within 90 days after the signing of the technology transfer pledge, the transferee shall, on behalf of the parties involved, submit an original application dossier to the Department of Science and Technology where the transferee's headquarters are located.		
6	**Article 7. Technology transfer reporting**	2. **In case of technology transfer agreements for which a Certificate for registration of technology transfer has been granted, and have been in effect for over a year,** on an annual basis, **the transferee (in case of inbound technology transfer into Vietnam and internal technology transfer)** or transferor (in case of outbound technology transfer from Vietnam) **shall prepare and submit a report on the performance of the technology transfer agreement for the previous year to the Ministry of Science and Technology or Department of Science and Technology that awards the Certificate for registration of technology transfer.** **3. The deadline for filing a technology transfer report is January 15 of the following year.**	1. Propose to amend deadline to submit report on implementation of technology transfer as corresponding with deadline to submit CIT finalization and audited Financial Statement (FS) of enterprise.	1. Report on implementation of technology transfer may require data of expense for technology transfer within the year. If such report is required to be submitted on 15th Jan of the following year, the abovementioned data of expense may not be as precise as data listed in audited FS. Therefore, we propose to amend article as above to ensure consistency with deadline to submit CIT finalization and audited FS, ensure data reported to technology authority is precise and consistent with data reported to tax authority.
			2. Propose to stipulate contents and form of report in this Decree	2. Help enterprises have basis to prepare information and submit required report in compliance with the laws